

HSBC

2Q26: Solid print, \$1bn buyback

Reiterate Rating: BUY | PO: 181.12 HKD | Price: 168.20 HKD

Overall: Solid beat from higher income

HSBC printed a solid set of Q226 numbers. PBT ex notable items was 5% ahead of consensus, driven by higher income. Within this, Banking NII was 1% ahead, while fee and other income was 4% ahead. Wholesale and Transaction Banking and Wealth were both beats (+5% and +7% respectively). Cost and impairments were broadly in line. Buyback restarted this quarter as per management guidance, at \$1bn (vs Visible Alpha consensus c.\$2bn). We remain positive on the stock and upgrade our PO to HKD181.12 (from HKD173.25), reflecting (i) roll forward of estimates to 2028, and (ii) assuming a higher growth rate (3%, up from 2%) in part because loan growth in Hong Kong has accelerated in recent months. We reiterate our Buy recommendation.

Guidance: 2026 Banking NII increased to “at least” \$46bn

Management increased Banking NII guidance for 2026 to “at least \$46bn”, from “c.\$46bn”. Consensus is at c.\$46.5bn. Other guidance for the year was reiterated. While management still guides to +1% yoy target basis cost growth for the year, they have also noted that should strong business performance continue, they may consider increasing variable pay which would increase costs modestly. For 2027, management will consider accelerating initiatives to support future growth, the cost of which will be partly offset by the gains of the organisation simplification. Management now expects cost saves of \$2bn to be delivered from the programme, vs previously c.\$1.5bn.

Growth: Wealth +21% yoy, loan growth picking up, +2% qoq

HSBC demonstrated strong growth again this quarter. Wealth fee income was up +21% year on year, broad-based across asset management (+7%), insurance (+21%), private bank (+22%), and investment distribution (+26%). Balance sheet growth was also strong, at 3% deposit growth and 2% loan growth in the quarter. Loan growth was broad based from HK, UK and the CIB. Higher loan growth in part drove buyback below consensus (\$1bn vs consensus \$2bn).

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	23,597	26,244	30,047	32,982	35,051
EPS	1.29	1.51	1.76	1.96	2.13
EPS Change (YoY)	-0.1%	17.2%	16.8%	11.4%	8.7%
Consensus EPS (Visible Alpha)			1.63	1.87	2.04
Dividend / Share	0.87	0.75	0.84	0.99	1.06
Adjusted NAV PS	8.61	9.64	9.88	10.63	11.32
Valuation (Dec)					
P/E	16.69x	14.24x	12.19x	10.94x	10.06x
Price / NAV	2.50x	2.24x	2.18x	2.02x	1.90x
Net Yield	4.06%	3.50%	3.90%	4.60%	4.95%

04 August 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	HK\$173.25	HK\$181.12
2026E EPS	1.77	1.76
2027E EPS	1.98	1.96
2028E EPS	2.18	2.13

Emma Xu >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 8165
emma.xu@bofa.com

Perlie Mong >>
Research Analyst
MLI (UK)
+44 20 7996 6717
perlie.mong@bofa.com

Stock Data

Price	168.20 HKD
Price Objective	181.12 HKD
Date Established	4-Aug-2026
Investment Opinion	B-1-7
52-Week Range	95.30 HKD-168.90 HKD
Mkt Val / Shares Out (mn)	368,554 USD / 17,183.6
Market Value (mn)	2,890,275 HKD
Average Daily Value (mn)	311.83 USD
Free Float	99.9%
BofA Ticker / Exchange	XHSBF / HKG
Bloomberg / Reuters	5 HK / 0005.HK
ROE (2026E)	16.9%

AT1: Additional Tier 1
CIB: Corporate and Investment Bank
GTS: Global Trade Solutions
HIBOR: Hong Kong Interbank Offer Rate
NII: Net interest income

>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.

Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.

BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Refer to important disclosures on page 13 to 15. Analyst Certification on page 10. Price Objective Basis/Risk on page 10.

13003424

Timestamp: 04 August 2026 12:33AM EDT

For the exclusive use of Olga Kim (olga.kim@oliverwyman.com) at Oliver Wyman Financial Services

C

iQprofileSM HSBC

Key Income Statement Data (Dec)

(US\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Net Interest Income	32,970	34,794	38,481	40,834	42,206
Net Fee Income	NA	NA	NA	NA	NA
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	0	0	0	0	0
Total Non-Interest Income	34,464	36,226	37,344	39,504	42,017
Total Operating Income	67,434	71,020	75,825	80,337	84,223
Operating Expenses	(32,810)	(33,464)	(34,608)	(35,852)	(37,111)
Pre-Provision Profit	34,624	37,556	41,216	44,485	47,113
Provisions Expense	(3,414)	(3,850)	(4,391)	(4,080)	(4,236)
Operating Profit	NA	NA	NA	NA	NA
Non-Operating Income	1,098	164.00	2,836	2,947	2,947
Pre-Tax Income	32,308	33,870	39,662	43,353	45,824
Net Income to Comm S/Hold.	22,916	25,065	30,268	33,053	35,092
Adjusted Net Income (Operating)	23,597	26,244	30,047	32,982	35,051

Key Balance Sheet Data

Total Assets	3,017,048	3,233,034	3,484,806	3,621,398	3,761,840
Average Interest Earning Assets	2,099,285	2,260,485	2,435,408	2,629,590	2,768,106
Weighted Risk Assets	838,254	888,647	921,751	958,686	993,244
Total Gross Customer Loans	940,373	999,091	1,047,781	1,088,403	1,129,897
Total Customer Deposits	1,654,955	1,786,828	1,843,392	1,916,323	1,997,957
Tier 1 Capital	144,127	153,396	151,927	157,714	163,418
Tangible Equity	153,519	164,401	167,745	176,148	183,584
Common Shareholders' Equity	165,903	177,508	180,473	189,374	197,320

Key Metrics

Net Interest Margin	1.57%	1.54%	1.58%	1.55%	1.52%
Tier 1 Ratio	17.2%	17.3%	16.5%	16.5%	16.5%
Effective Tax Rate	22.6%	20.0%	20.1%	20.5%	20.3%
Loan / Assets Ratio	30.8%	30.6%	29.8%	29.8%	29.8%
Loan / Deposit Ratio	56.2%	55.3%	56.3%	56.2%	56.0%
Oper Leverage (Inc Growth - Cost Growth)	-0.3%	3.3%	3.3%	2.4%	1.3%
Gearing (Assets / Equity)	18.2x	18.2x	19.3x	19.1x	19.1x
Tangible Common Equity / Assets	5.1%	5.1%	4.8%	4.9%	4.9%
Tangible Common Equity / WRAs	18.3%	18.5%	18.2%	18.4%	18.5%
Revenue Growth	2.6%	5.3%	6.8%	6.0%	4.8%
Operating Expense Growth	2.9%	2.0%	3.4%	3.6%	3.5%
Provisions Expense Growth	-1.0%	12.8%	14.0%	-7.1%	3.8%
Operating Revenue / Average Assets	1.0%	1.1%	1.1%	1.1%	1.2%
Operating Expenses / Average Assets	-1.1%	-1.1%	-1.0%	-1.0%	-1.0%
Pre-Provision ROA	1.1%	1.2%	1.2%	1.3%	1.3%
ROA	0.8%	0.8%	0.9%	0.9%	1.0%
Pre-Provision ROE	20.8%	21.9%	23.0%	24.1%	24.4%
ROE	13.7%	14.6%	16.9%	17.9%	18.1%
RoTE	15.3%	16.5%	18.1%	19.2%	19.5%
RoWRAs	8.0%	8.2%	8.4%	8.5%	8.6%
Dividend Payout Ratio	67.7%	49.8%	47.5%	50.3%	49.8%
Efficiency Ratio	48.7%	47.1%	45.6%	44.6%	44.1%
Headline Cost/Income Ratio	NA	NA	NA	NA	NA
Total Non-Interest Inc / Operating Inc	49%	49%	51%	51%	50%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	9.9%	10.3%	10.7%	9.2%	9.0%
NPLs plus Foreclosed Real Estate / Loans	NA	NA	NA	NA	NA
Loan Loss Reserves / NPLs	42.8%	43.2%	41.2%	39.7%	39.7%
Loan Loss Reserves / Total Loans	1.0%	1.1%	1.0%	1.0%	1.0%
Provisions Expense / Average Loans	0.4%	0.4%	0.4%	0.4%	0.4%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

HSBC Holdings is the leading cross-border international banking group, with particular strength in Asia (ex Japan), but also with strong presence in the UK, the Middle East, and North America. The UK and Hong Kong are its two home markets, where it has market-leading full service offerings. Outside of the home markets, its strategic focus are international corporate and institutional banking, and international wealth and premier banking focused on the affluent segment.

Investment Rationale

HSBC has an enviable franchise in both Hong Kong and the UK and is well placed to capture structural growth opportunity, such as Asia Wealth Management. HSBC's expected cash yield compares favourably with both the UK/HK and Chinese banks, particularly when buyback restarts. Management is now targeting 17% ROTE or better in each of 2026, 2027, and 2028, which we think they can exceed.

Stock Data

Price to Book Value

2.0x



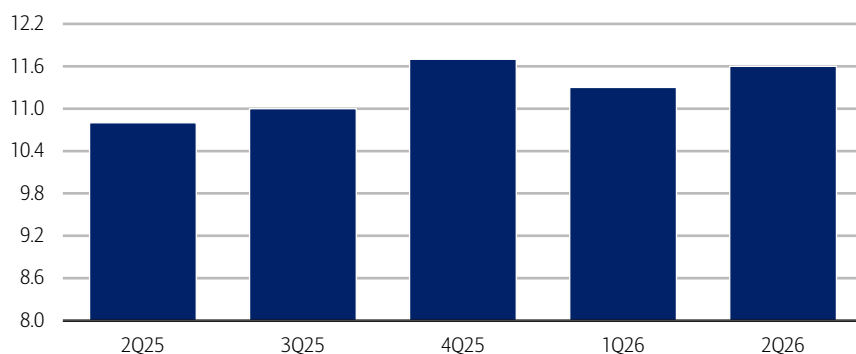
Banking NII: Loan growth 2% in the quarter

Banking NII guidance increased reflecting favourable rate outlook

Banking NII at c.\$11.6bn was c.1% ahead of consensus. Compared with the previous quarter, the growth of c.\$0.4bn in the quarter reflects (i) non repeat of \$0.1bn negative in Q1, (ii) day count, (iii) higher structural hedge income, (iv) loan and deposit growth.

Exhibit 1: Banking NII, Q225-Q226, \$bn

Banking NII was up \$0.4bn in the quarter



Source: Company reports

BofA GLOBAL RESEARCH

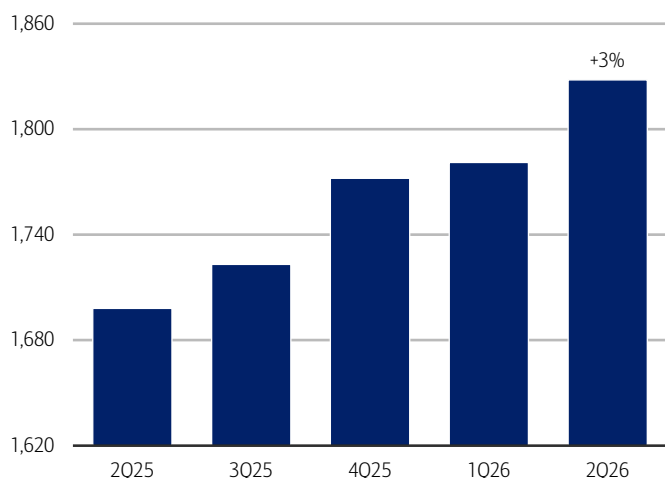
Estimate: \$46.8bn for 2028, vs “at least \$46bn” guidance, upside from balance sheet growth

With Q2 Banking NII at \$11.6bn, adjusting for day count should see Q3 and Q4 Banking NII at c.\$11.8bn. There is also c.\$25bn of structural hedge maturing in each of the two quarters at an average yield of 2.8% - using today's rates uplift should be c.1.5%. Adding this on should see FY26 banking NII at c.\$46.6bn before further balance sheet growth. Outturn should be higher given strong trends in loan and deposit growth, notwithstanding some potential offset from (i) margin competition, and (ii) deposit beta. We forecast Banking NII of \$46.8bn for the year.

Strong loan and deposit growth in the quarter

Exhibit 2: Deposit growth, Q225-Q226, \$m

Deposit growth was strong at +3% in the quarter, although partly reflects some short term inflows in the CIB

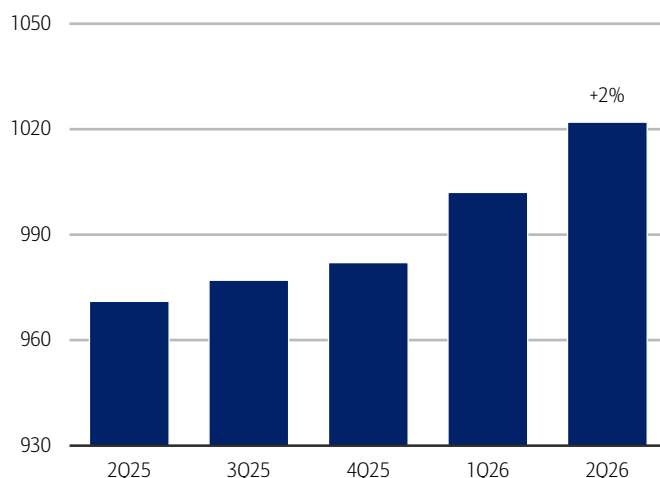


Source: Company reports

BofA GLOBAL RESEARCH

Exhibit 3: Loan growth, Q225-Q226, \$m

Loan growth picked up strongly this year, with Q2 continuing the trajectory from Q1



Source: Company reports

BofA GLOBAL RESEARCH



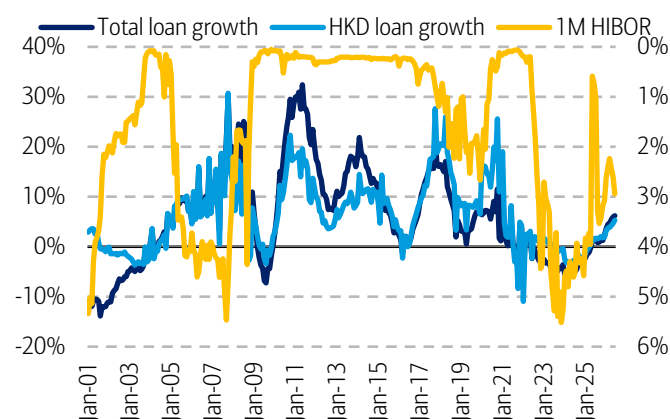
Deposit growth: This was primarily driven by strong growth in CIB, which reflects continued momentum in Global Payments Services, new Securities Services mandates, as well as short-term inflows.

Loan growth: This was broad based (HK, UK, CIB all contributed c.\$6bn of loan growth). In HK the loan growth was across GTS, commercial lending and mortgages, while in CIB it was led by GTS and Infrastructure Finance predominantly in Asia.

Hong Kong system loan growth has finally recovered after several years of weakness, accelerating to 6.2% YoY/6.4% HoH in 1H26 amid lower HIBOR. Growth has broadened across trade finance, manufacturing, transport and equipment, wholesale and retail trade, consumer lending and offshore loans. Property-related lending, however, remains weak and continues to be the main drag on the overall loan book. Against this backdrop, HSBC's Hong Kong loan book returned to growth, increasing 5.7% HoH in 1H26 compared with broadly flat balances in 2025.

Exhibit 4: HK system loan growth recovered to 6.2% in 1H26 amid lower HIBOR

HK system loan YoY growth vs 1M HIBOR

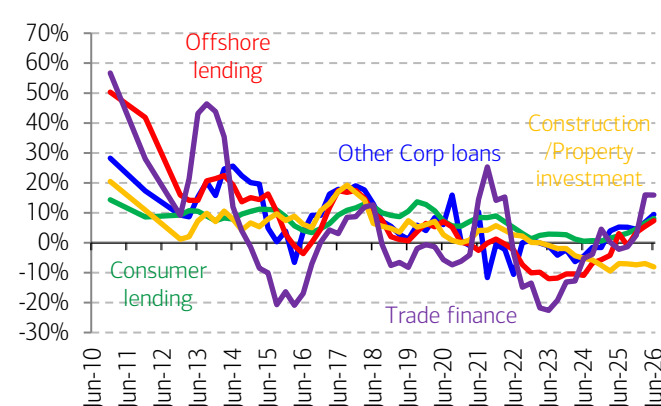


Source: HKMA

BofA GLOBAL RESEARCH

Exhibit 5: Loan growth was broad-based in 1H26, except for property and construction lending

HK system loan YoY growth by category



Source: HKMA

BofA GLOBAL RESEARCH

Hedge benefit through to 2028

While the hedge benefit is not as material to Banking NII as it is to the UK domestic banks, we note that in the current environment, hedge benefit will continue to support NII through to 2028.

Exhibit 6: Structural hedge disclosures

Roll off yield ranges from 2.8%-3.6% from now to 2028, NII benefit at current rates

\$bn	Balance	Average yield
Notional Balance	637	
3Q26-4Q26	c.50	2.80%
2027	c.120	3.30%
2028	c.110	3.60%

Source: Company reports

BofA GLOBAL RESEARCH

Exhibit 7: Five year yields history

Market rates have increased in the last six month and now implying c.1-1.5% uplift on hedge roll

	Q425	Q126	Q226
USD	373	394	423
GBP	392	446	430
EUR	245	273	259

Source: Company reports

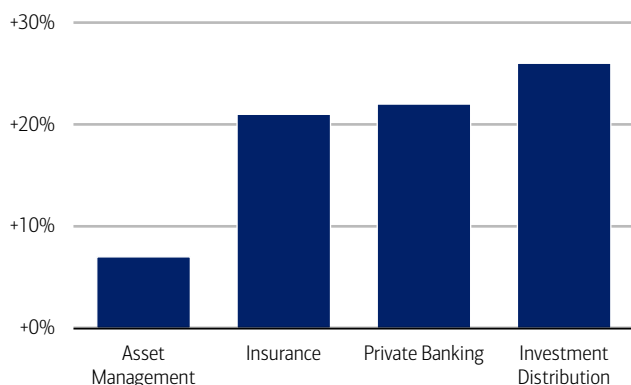
BofA GLOBAL RESEARCH

Wealth – broad based across key products

Wealth fee and other income grew 21% YoY, up from 15% growth in 1Q26, driven by strong performance across investment distribution (+26%), private banking (+22%) and insurance (+21%).

Exhibit 8: Wealth fee income growth year on year, by category

Strong, broad based performance across insurance, private banking and investment distribution

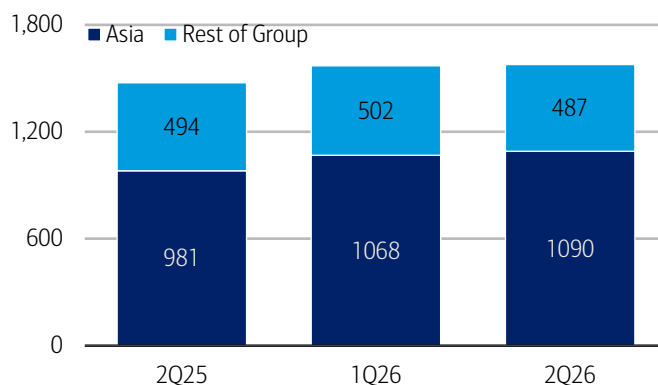


Source: Company reports

BofA GLOBAL RESEARCH

Exhibit 9: Wealth balances, \$bn

Wealth balance was up \$8bn, as \$25bn net new money was partially offset by market impact, FX and other



Source: Company reports

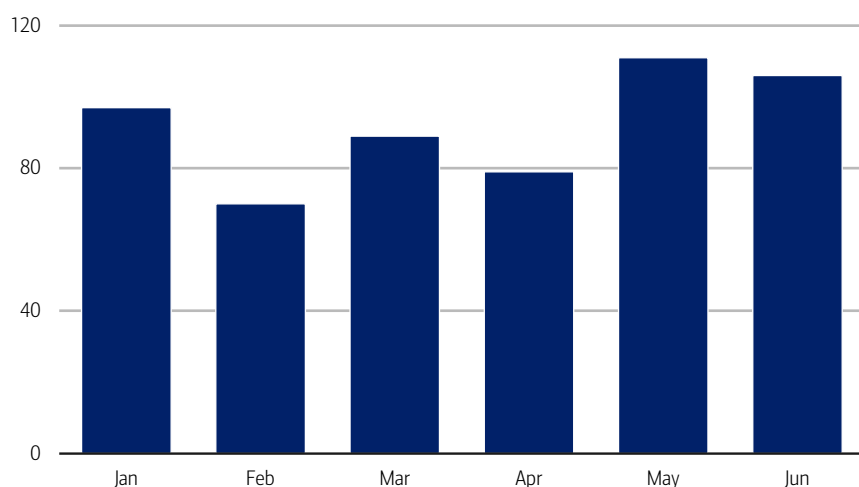
BofA GLOBAL RESEARCH

It is worth noting that in Wealth balances, Market impact, FX and other includes cancellation of \$25bn of unlisted shares held in custody as at 31 March 2026, where conversion has occurred during the second quarter, and c.\$18bn of Wealth balances reclassified as HFS in 2Q26, including Singapore Insurance \$10bn, Indonesia retail banking \$5bn and Malta \$2bn.

New to bank customers remain strong, little impact from recent regulatory tightening

Exhibit 10: Monthly customer acquisition, k

New customer acquisition momentum continued in Q2



Source: Company reports

BofA GLOBAL RESEARCH

Actual vs consensus

Exhibit 11: Q226 results vs consensus

Q226 underlying PBT ex notable items was 5% ahead of consensus, largely driven by higher income

	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26			2Q26 vs		
	Actual	Actual	Actual	Actual	Actual	Actual	Actual	Cons	BofA	Cons	2Q25	1Q26
Reported P&L												
Net interest income	8,185	8,302										
Other income	3,379	9,347										
Income	11,564	17,649	16,473	17,788	16,364	18,624	19,118	18,570	18,984	3%	16%	3%
ECL	(1,362)	(876)	(1,065)	(1,008)	(901)	(1,301)	(1,052)	(1,066)	(1,077)	-1%	-1%	-19%
Expenses	(8,604)	(8,102)	(8,920)	(10,076)	(9,330)	(8,721)	(8,705)	(8,718)	(8,838)	0%	-2%	0%
Associates	679	813	(162)	591	669	774	785	722	760	9%	-585%	1%
Profit before tax	2,277	9,484	6,326	7,295	6,802	9,376	10,146	9,508	9,829	7%	60%	8%
Tax	(1,692)	(1,914)	(1,455)	(1,792)	(1,615)	(1,982)	(2,219)	(2,012)	(1,966)	10%	53%	12%
Profit after tax	585	7,570	4,871	5,503	5,187	7,394	7,927	7,496	7,864	6%	63%	7%
Minorities	(388)	(638)	(293)	(630)	(468)	(456)	(239)	(211)	(185)	13%	-18%	-48%
Attributable profit	197	6,932	4,578	4,873	4,719	6,938	7,688	7,285	7,679	6%	n.a.	11%
Notable items												
Income	(4,940)	(91)	(1,184)	(112)	(1,359)	(501)	75	(47)	0	-	-	-
Expenses	(106)	(191)	(652)	(1,696)	(425)	(178)	(269)	(281)	(305)	-	-	-
Impairment inc associates			(1,000)					0	0	-	-	-
Profit before tax	(5,046)	(282)	(2,836)	(1,808)	(1,784)	(679)	(194)	(328)	(305)	-	-	-
Ex notables												
Banking NII	10,904	10,599	10,714	11,049	11,722	11,253	11,643	11,527	11,625	1%	9%	3%
Fees and other income	5,600	7,141	6,943	6,851	6,001	7,872	7,400	7,090	7,360	4%	7%	-6%
Income	16,504	17,740	17,657	17,900	17,723	19,125	19,043	18,617	18,984	2%	8%	0%
ECL	(1,362)	(876)	(1,065)	(1,008)	(901)	(1,301)	(1,052)	(1,066)	(1,077)	-1%	-1%	-19%
Expenses	(8,498)	(7,911)	(8,268)	(8,380)	(8,905)	(8,543)	(8,436)	(8,437)	(8,533)	0%	2%	-1%
Associates	679	813	838	591	669	774	785	722	760	9%	-6%	1%
Profit before tax	7,323	9,766	9,162	9,103	8,586	10,055	10,340	9,836	10,134	5%	13%	3%
Key metrics												
Banking NII	10,904	10,599	10,714	11,049	11,722	11,253	11,643	11,527	11,625	1%	9%	3%
DPS (\$)	0.36	0.10	0.10	0.10	0.45	0.10	0.10	0.10	0.10	0%	0%	0%
Buybacks (i)	2,000	3,000	3,000	0	0	0	1,000	1,958	2,000.00			
CET1 ratio	14.9%	14.7%	14.6%	14.5%	14.9%	14.0%	14.1%	14.2%	14.2%	-0.1%	-0.5%	0.1%
RWA (\$bn)	838	853	887	879	889	884	906	894	895	1%	2%	3%
Net customer loans	930,658	944,708	981,722	982,886	988,399	1,001,957	1,022,105	1,015,500	1,011,963	1%	4%	2%
Loan loss rate	0.57%	0.37%	0.43%	0.40%	0.36%	0.52%	0.41%	0.42%	0.42%	-0.01%	0.0%	-0.1%
TNAVPS	8.61	9.08	9.17	9.22	9.64	9.46	9.36	9.39	9.36	0%	2%	-1%

Source: Company reports, company consensus

BofA GLOBAL RESEARCH

Estimate changes FY26-FY28

Exhibit 12: Estimate changes for FY26-FY28

Underlying forecast largely unchanged, with higher income offsetting higher costs

	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Underlying P&L (\$m)									
Net interest income	38,481	38,407	0%	40,834	40,435	1%	42,206	41,721	1%
Non Interest income	37,344	37,124	1%	39,504	39,163	1%	42,017	41,625	1%
Total income	75,825	75,532	0%	80,337	79,599	1%	84,223	83,346	1%
Operating costs	(34,608)	(34,317)	1%	(35,852)	(35,223)	2%	(37,111)	(36,227)	2%
Pre-provision profits	41,216	41,215	0%	44,485	44,376	0%	47,113	47,119	0%
Impairments	(4,391)	(4,591)	-4%	(4,080)	(4,091)	0%	(4,236)	(4,196)	1%
Associates and JV	2,836	2,736	4%	2,947	2,843	4%	2,947	2,843	4%
Underlying PBT	39,662	39,360	1%	43,353	43,129	1%	45,824	45,766	0%
Income exceptionals	(535)	(711)		2,300	500		-	-	
Cost exceptionals	(1,179)	(1,070)		(350)	(200)		(200)	(200)	
Impairment exceptionals	-	-		-	-		-	-	
Stat profit before tax	37,948	37,579	1%	45,303	43,429	4%	45,624	45,566	0%
Tax	(7,969)	(7,666)		(8,875)	(8,859)		(9,307)	(9,295)	
Other equity holders	(1,300)	(1,183)		(1,300)	(1,183)		(1,300)	(1,183)	
NCI	(125)	(150)		(125)	(150)		(125)	(150)	
Statutory AP	28,554	28,580	0%	35,003	33,236	5%	34,892	34,937	0%
Banking NII	46,802	46,729	0%	49,155	48,757	1%	50,527	50,043	1%
Non Banking NII	29,022	28,803	1%	31,182	30,842	1%	33,696	33,303	1%
Profitability Metrics									
EPS (reported)	167	168	0%	208	200	4%	212	217	-2%
EPS (underlying)	176	177	-1%	196	198	-1%	213	218	-2%
Stat ROTE	17.4%	17.5%	-0.1%	20.3%	19.7%	0.6%	19.3%	20.0%	-0.7%
Underlying ROTE	18.3%	18.4%	-0.2%	19.1%	19.5%	-0.4%	19.4%	20.1%	-0.7%
Key balance sheet items (\$m)									
Loans and advances to customers	1,037,070	1,037,070	0%	1,077,692	1,061,868	1%	1,119,186	1,092,128	2%
Tangible Equity	168,276	166,125	1%	176,679	171,437	3%	184,115	177,532	4%
TBVPS	988	983	1%	1,063	1,047	1%	1,132	1,117	1%
Capital and Distributions									
CET1 ratio	14.2%	14.1%	0.2%	14.3%	14.0%	0.3%	14.4%	14.0%	0.3%
Risk Weighted Assets	921,751	914,689	1%	958,686	939,246	2%	993,244	963,713	3%
DPS (c)	83.6	84.0	0%	98.7	99.9	-1%	106.1	108.3	-2%
Buyback announced	5,000	7,000	-29%	9,500	11,000	-14%	9,500	11,000	-14%

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Banking NII: We have kept our forecast for 2026 broadly unchanged and increased our estimates slightly in 2027/2028, reflecting higher loan growth. We now forecast c.4% loan growth year on year, vs previously c.2-3%.

Non interest income: We have increased our fee income forecast by c.1%, as Wealth and Wholesale Transaction Banking were both above our (and consensus) forecast this quarter, and we remain positive on the underlying trends.

Costs: We have increased costs by c.1-2% across FY26-28. For FY26 management noted that should strong business performance continue, they may consider increasing variable pay which would increase costs modestly. While the guidance is still +1% yoy target basis cost growth, we forecast c.2% cost growth as we are positive on H2 performance.

Management also noted that for 2027 they will consider accelerating initiatives to support future growth, although 2027 cost growth will be partly offset by the P&L benefits of organisational simplification. It is worth noting that the simplification programme is now expected to deliver \$2bn of cost saves (previously \$1.5bn).

Below the line items: We have adjusted our forecasts for below the line items, taking into account the latest disposals, including the disposal of Singapore announced in July. 2027 revenue exceptional \$2.3bn includes the following

- Singapore insurance disposal gain: \$1.8bn gain on disposal by H127
- Indonesia retail banking disposal gain: \$0.4bn
- Egypt retail banking disposal gain: \$0.3bn
- Germany custody business disposal gain: \$0.1bn
- Australia retail banking FX recycling loss: \$0.3bn (could take place in 2028)

It is worth noting that the Singapore insurance disposal will be classified as a material notable item, and therefore excluded from the calculation of dividends. HSBC Life Singapore generated an operating profit of c. EUR80mn/c. USD90mn, we would therefore expect the impact on the group PL to be minimal.

Buybacks: We have reduced our buyback expectations through the forecast horizon by \$1.5-2bn. We previously expected announced buyback of \$2-3bn per quarter, but given this quarter's announced buyback of \$1bn we have revised our assumption, particularly in the context of higher expected loan growth. That said, we think 2027 buyback would be supported by the disposal gains to some extent.

Underlying EPS: We have reduced our underlying EPS forecasts slightly despite limited changes to PBT, reflecting (i) lower buybacks, (ii) higher buyback execution price given recent share price movements, and (iii) higher charges from 'other equity holders' (likely AT1 holders).

Revised estimates vs consensus

Exhibit 13: Revised estimates vs consensus, FY26-28

Our underlying PBT estimates are 2-4% ahead of consensus

	2026			2027			2028		
	Cons	BofA	Diff	Cons	BofA	Diff	Cons	BofA	Diff
NII	46,495	46,802	1%	48,294	49,155	2%	49,864	50,527	1%
Other income	28,427	29,022	2%	30,070	31,182	4%	32,074	33,696	5%
Total income	74,922	75,825	1%	78,364	80,337	3%	81,938	84,223	3%
Costs	(34,326)	(34,608)	1%	(35,383)	(35,852)	1%	(36,500)	(37,111)	2%
PPOP	40,596	41,216	2%	42,981	44,485	4%	45,438	47,113	4%
Impairments	(4,521)	(4,391)	-3%	(4,003)	(4,080)	2%	(4,081)	(4,236)	4%
Other income/ Associates	2,760	2,836	3%	2,818	2,947	5%	2,923	2,947	1%
Underlying PBT	38,835	39,662	2%	41,796	43,353	4%	44,280	45,824	3%
Exceptionals	(1,713)	(1,714)	0%	(92)	1,950	n.a.	(327)	(200)	-39%
PBT	37,122	37,948	2%	41,704	45,303	9%	43,953	45,624	4%
Reported EPS (i)	163.0p	167.2p	3%	188.0p	208.0p	11%	204.0p	212.2p	4%
Adj. EPS		175.9p			196.0p			213.1p	
ROTE (ex notable items)	17.7%	18.3%	0.6%	18.4%	19.1%	0.7%	18.8%	19.4%	0.6%
CET1	14.2%	14.2%	0.0%	14.3%	14.3%	0.0%	14.5%	14.4%	-0.1%
DPS	84.0	83.6	-1%	94.0	98.7	5%	103.0	106.1	3%
Buyback (i)	5,758	5,000	-13%	10,000	9,500	-5%	9,000	9,500	6%
TBVPS	988	988	0%	1059	1,063	0%	1137	1,132	0%

Source: Company consensus

(i) Visible Alpha consensus

BofA GLOBAL RESEARCH

Our revised estimates are c.2-4% ahead of consensus, reflecting higher income (both NII and non NII), partially offset by higher costs. Within non interest income, consensus forecasts c.3-4% growth per year for Wholesale and Transaction Banking, and c.11% growth per year for Wealth, which feel low to us. Our NII is in part higher because of higher loan growth assumptions (we assume 4% loan growth vs consensus c.3%).

Valuation: Roll forward to 2028

Exhibit 14: Valuation based on 2028 SOTP

We have rolled forward our valuation using 2028 forecasts

SOTP valuation	Post tax earnings	Adj. for minorities	RWA	RWA (t-1)	Assumed allocation	Implied CET1	Implied CET1 (t-1)	ROCET1 (%)	COE %	Growth rate	Implied P/CET1	Implied P/E	Implied value
HK	10,381	9,994	152,901	147,021	14%	21,406	20,583	48%	10%	4%	6.84	14.66	146,511
UK	5,303	5,078	175,915	169,149	14%	24,628	23,681	21%	11%	2%	2.11	10.25	52,051
CIB	11,685	11,213	472,129	453,970	14%	66,098	63,556	17%	13%	3%	1.44	8.51	95,456
IWPB	6,202	6,452	96,107	93,308	14%	13,455	13,063	49%	11%	3%	6.09	12.70	81,916
Corp centre (mostly associate)		2,155	96,191	95,239	14%	13,467	13,333	16%	11%	0%	1.53	9.57	20,624
Total	33,571	34,892	993,244	958,686	15%	139,054	134,216	26%	11.0%	3%	2.85	11.37	396,557
Share count	17,024												
Discounted value per share	20.11												
Cumulative dividends	2.75												
Capital excess	0.18												
Valuation in \$	23.04												
PO (HKD)	181.12												

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

We have changed our growth assumption from 2% to 3%, reflecting a higher retention rate. We expect management to put more capital to support loan growth which has accelerated in recent months. This means a lower total payout which implies a higher growth rate.



Price objective basis & risk

HSBC (XHSBF)

We derive our PO using a sum-of-the-parts (SOTP) valuation where we value each business line separately using target P/E and implied P/TBV multiples based on 2028e earnings. At group level, this results in an implied cost of equity (COE) of c.11% assuming 3% growth. We incorporated the discounted value of cumulative dividends paid over the forecasting period, as well as excess capital to 14% CET1 (bottom end of management's target range). Using this approach, we calculate a PO of HK\$181.12.

Downside risks to our PO: (i) US interest rates falling faster than expected, (ii) Middle East conflict escalates leading to a global slowdown.

Analyst Certification

I, Emma Xu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

BofA Securities is currently acting as Financial Advisor to HSBC Holdings Plc in connection with its proposed sale of its Custody Business in Germany to BNP Paribas S.A. Niederlassung Deutschland, which was announced on June 27, 2025.

BofA Securities is currently acting as Financial Advisor to HSBC Holdings Plc in connection with its proposed sale of its Fund Administration Business in Germany to BlackFin Capital Partners S.A.S., which was announced on July 11, 2025.

Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	AIA Group Limited	AAIGF	1299 HK	Michael Li
	Bank of Chengdu	XBCQF	601838 CH	Wenqing Han, CFA
	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	Cathay FHC	XCIF	2882 TT	Michael Li
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank	CICHF	939 HK	Winnie Wu
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CLJF	2628 HK	Michael Li
	China MERCH BK -A	CIHKF	600036 CH	Winnie Wu
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	CHMSF	6099 HK	Susie Liu, CFA
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Fubon FHC	FUISF	2881 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	FWD Group	XFGVF	1828 HK	Michael Li
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA

Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	Hithink Royalflush	XHIFF	300033 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li

NEUTRAL

	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Intl Capital Corp - A	XCCIF	601995 CH	Susie Liu, CFA
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Qfin Holdings	QFIN	QFIN US	Emma Xu
	Qfin Holdings	QFNHF	3660 HK	Emma Xu
	Standard Chartered	XCHBF	2888 HK	Emma Xu

UNDERPERFORM

	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China Merchants Bank	CIHHF	3968 HK	Winnie Wu
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XCJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA

RVW

	Lufax Holding	LU	LU US	Emma Xu
--	---------------	----	-------	---------



iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

$\text{NOPAT} = (\text{EBIT} + \text{Interest Income}) \times (1 - \text{Tax Rate}) + \text{Goodwill Amortization}$

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

$\text{EV} = \text{Current Share Price} \times \text{Current Shares} + \text{Minority Equity} + \text{Net Debt} +$

Other LT Liabilities

Enterprise Value

Denominator

$\text{Total Assets} - \text{Current Liabilities} + \text{ST Debt} + \text{Accumulated Goodwill}$

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

$\text{Market Cap} = \text{Current Share Price} \times \text{Current Basic Shares}$

Sales

Basic EBIT + Depreciation + Amortization

iQmethodSM is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

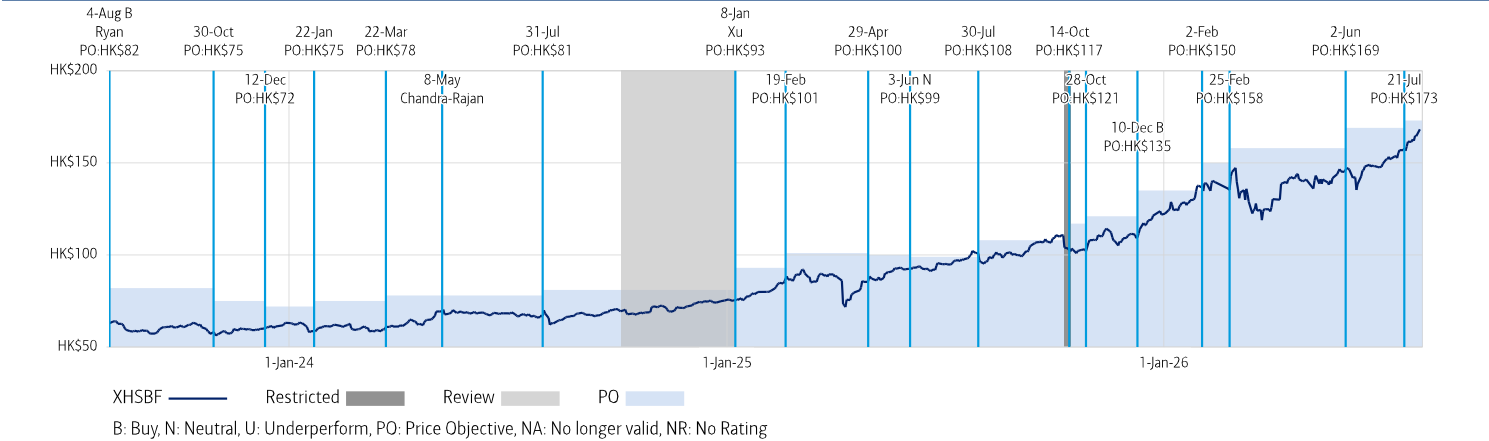
iQdatabase[®] is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

iQprofileSM, iQmethodSM are service marks of Bank of America Corporation. iQdatabase[®] is a registered service mark of Bank of America Corporation.

Disclosures

Important Disclosures

HSBC (XHSBF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Banks Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	119	54.84%	Buy	104	87.39%
Hold	57	26.27%	Hold	44	77.19%
Sell	41	18.89%	Sell	32	78.05%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. Coverage Cluster is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the [Price Charts website](#), or call 1-800-MERRILL to have them mailed. BofAS or an affiliate was a manager of a public offering of securities of this issuer within the last 12 months: HSBC. The issuer is or was, within the last 12 months, an investment banking client of BofAS and/or one or more of its affiliates: HSBC. BofAS or an affiliate has received compensation from the issuer for non-investment banking services or products within the past 12 months: HSBC. The issuer is or was, within the last 12 months, a non-securities business client of BofAS and/or one or more of its affiliates: HSBC. BofAS or an affiliate has received compensation for investment banking services from this issuer within the past 12 months: HSBC. BofAS or an affiliate expects to receive or intends to seek compensation for investment banking services from this issuer or an affiliate of the issuer within the next three months: HSBC. The issuer is or was, within the last 12 months, a securities business client (non-investment banking) of BofAS and/or one or more of its affiliates: HSBC. BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall

profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

The issuer is a corporate broking client of Merrill Lynch International in the United Kingdom: HSBC.

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits.

Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.

The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.

Officers of BofA or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.

Refer to [BofA Global Research policies relating to conflicts of interest](#).

'BofA Securities' includes BofA Securities, Inc. ('BofAS') and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. 'BofA Securities' is a global brand for BofA Global Research.

Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:

BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofam.com/BofASEdisclaimer; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSF); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority. This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSF; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the [Electronic Communications Disclaimers](#) for further information.

This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.

General Investment Related Disclosures:

Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.

This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.

Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile

and are largely unregulated. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.

This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may be more or less positive than a stock's fundamental equity rating.

BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.

Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.

BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities that may have been recommended in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments discussed in this report.

BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.

In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:

Copyright 2026 Bank of America Corporation. All rights reserved. iQDatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.

Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.

This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS or any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.

Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.

Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.

The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.

All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.

Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.

Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.

In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.

Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.